

The 2001 Dotcom Bubble

It's probably equal parts morbid and nerdy to have a 'favourite' crash, but the Dotcom Bubble will always be my favourite. It was the perfect storm and a great example of what an investing bubble is: a market phenomenon where the price of certain stocks, industries or the entire market gets inflated much higher than what it's actually worth (like paying \$100 for a \$20 beauty blending sponge), until prices aren't sustainable and thus the bubble 'bursts'. It's like when you tell a little lie that keeps getting bigger and bigger until it all comes crashing down — everyone sees through your BS and walks away.

In the late 1990s and early 2000s, the internet was the 'next big thing' and internet companies were popping up everywhere. Any public company that had '.com' after their name began soaring: think pets.com or toys.com. Even if the company wasn't making a profit, enough speculators invested to artificially inflate its stock price. Because they thought they were going to make big bucks.

When the growth of investing into these empty companies wasn't sustainable, the market dropped. Those who had been trying to pick the next big thing were left burnt. However, again, the market fully recovered by late 2006, and those who were holding their positions in long-term broad market indexes didn't lose a single penny.

The 2008 Global Financial Crisis

You're probably familiar with the GFC. Even those who weren't directly involved or old enough to understand what was happening had a fair idea that 'the entire world was suddenly poorer' — and they weren't exactly wrong. In 2007, subprime mortgages (bad mortgages with high interest rates given to people with incomplete credit histories) were being handed out in the US like hot dogs on a street corner. People were even being *paid* to take up mortgages, a concept that leaves many millennials and Gen Zs today in disbelief.

Eventually, these dodgy mortgages started to catch up to people; homeowners weren't able to repay them anymore, defaulting on their loans and causing a large decline in housing prices. Lehman Brothers, a financial services firm that was in charge of a lot of these 'bad' mortgages, declared